

Great Scope for the Indian Connectors Sector

India is perhaps the only country having a national manufacturing policy and a national policy on electronics, and likely to have five-fold growth in demand between 2008 and 2015. Will this increasing demand for electronics, along with favourable government policies, be enough for corresponding growth of the connectors sector?

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The electronics and electricals industry has seen tremendous change in the past few years, and so has the connectors and terminals industry. As miniature electronics equipment demand increases, with focus on safety concerns, changes can be seen percolating to the connectors and terminals sector to meet these needs.

Jagjit Singh, partner, Electroconnect Systems says, "Market of connectors and terminals is evergreen hence everyday demand is increasing, this is due to overall industrial development as well as growth in number of electronic products used by common people in there day-to-day life."

Overall performance factors

An important fact to note is that the growth of the connectors and the terminals industry is directly proportional to that of the electronics industry. If we look at the key trends in the electronics subsectors, connectors are becoming more vital to the electronics industry—an industry that sees a new trend every day.

Robotic systems, with a high demand for human-patient simulators, are a very good example that show growing requirements of compact, rugged and flexible connectors and cables. This shows the limitless usage of connectors in the medical sector in various facilities, such as powering the physical heart, lungs and sometimes to build a complete wireless network within a patient's body.

Sanjay Handu, director, Aerospace,



Multipole electrical connectors

Defense & Marine - TE Connectivity, India says, "There exists a huge opportunity for electronics players in telecom and data communications, with the government's ambitious plan regarding the National Optical Fibre Network (NFON) project and the Reliance 4G rollout. Moreover, India's defence sector is poised for growth and the country is expected to be one of the top five markets for defence equipment by 2015."

In a recent report by Bishop & Associates, Inc., the connectors industry was estimated to reach US\$ 1.2 billion by 2017. The shift in the market from communication connectors to industrial connectors in the past two to three years can be considered to be the supporting factor for their estimate. Bishop & Associates expects India to be on the top of the three growing markets in the world for this industry.

Demand is also increasing for high-end interconnection solutions from customers due to India's advantage in labour costs, freight and exchange variations.

However, if we consider the military or the aerospace market, the growth of the connectors industry has been poor in the last two years. The year 2012 saw a contraction of 0.8 per cent whereas 2013 saw an overall

growth of 1.4 per cent. The trend of the connector and cable assembly industry in this sector gets highly affected by the budgets, the policies and the government of a particular region.

If we look at the combined annual revenue report of all the markets for the electronics interconnectors, it has been estimated to be US\$ 4.24 trillion in 2013, which shows an overall increase of 0.8 per cent over 2012. The highest contributor to this revenue generation has been EADS (defence) with a share of 14.5 per cent.

The demand for connectors is increasing due to growing gross domestic product (GDP) and increase in the labour cost in Far East (Asia), which in turn has led to the re-location of manufacturing to India.

Moreover, new government initiatives for the manufacturing industries and the new upcoming markets, such as solar and e-mobility, are playing a vital role in industrial growth.

Ravindra Kumar, country manager, Samtec Trading India Pvt Ltd says, "We hope to have easy and hassle-free procedures to start manufacturing facilities for overseas manufacturers and benefits for special economic zones (SEZs) and export-oriented units (EOUs), something that Samtec will plan to establish in Bengaluru in the future."

If we consider India's contribution to Asia-Pacific in expanding the rail system requirements, it is at about 9.6 per cent CAGR rate with its Vision 2020 railway agenda. The growth in the manufacturing of diesel locomotives and electrical vehicles has supported India to become an exporter to the developing countries,